

## Calderwood Partners LLC

www.calderwoodpartners.com

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March 6, 2020

Melissa Johnson, General Manager, Scott, Smith and Edwards

Re: Service Delivery Redesign for Scott, Smith and Edwards

Dear Ms. Johnson,

This letter confirms our engagement and sets out the terms on which we will carry it out. The question in front of us is a single one: how Scott, Smith and Edwards should deliver its services so that work reaches its own clients faster and at a cost the business can sustain, without cutting into the parts of the operation those clients value. Below you will find the scope, the team, the fee and timing, and the standard terms that accompany our work, so that both sides begin from the same understanding of it.

### **Scope of the engagement**

The engagement covers the design of a revised service-delivery model for Scott, Smith and Edwards and a plan for putting it into effect. In the first phase we will map how service is delivered today: the steps a piece of work passes through, where it waits, where it is handed off, and what each stage costs in time and effort. From that baseline we will identify where the current model adds delay or expense that your clients would not miss if it were removed. In the second phase we will design the revised model, test it against the volumes and service commitments you actually carry, and set out what it would take to move to it. We will not recommend a change we cannot show the reasoning for, and we will say plainly where the data is thinner than we would like.

Two things sit outside this engagement. We are not being retained to implement the revised model for you; our work ends with a tested design and a plan your teams can act on. And we are not reviewing the prices you charge your own clients, which is a separate question we would take up under a separate letter if you wanted it examined.

### **The team**

The engagement will be led by Jason Torres, Principal, who will direct the analysis and be your point of contact on anything touching the substance of the work. Julie Vasquez, Research Associate, will assemble the operating data and supporting research the analysis rests on, and will prepare the written record you receive between our formal reviews. I will stay close to the engagement and will read what leaves our office under the firm's name. You should expect working sessions with your team, minutes of those sessions, periodic status reports written for you, and a briefing to your wider group once the analysis is far enough along to defend.

## **Fee and timing**

Our fee for the engagement is a fixed fee of \$42,000, which covers the work described above in full. It is not a rate against which hours are billed, and it will not change unless the scope itself changes and we agree that change in writing. We propose to begin the work on March 16, 2020. The engagement is planned to run for roughly seven months from that point, though the pace of the later phases will depend in part on how quickly your team can make the underlying operating records available.

## **What we will need from you**

The work depends on access. We will need to speak with the people who run service delivery day to day, to observe the work as it happens where that is possible, and to see the operating records that show volumes, timing, and cost. Julie Vasquez will send a first, specific data request in the opening days. We would ask that a single person on your side be named to route those requests, so that neither team loses time chasing the right contact. Where a record does not exist in the form we ask for, we would ask that your team tell us at the outset, so that we can plan the analysis around what is actually available.

## **Fees and payment**

The fixed fee of \$42,000 will be invoiced in equal monthly installments across the term of the engagement, with each invoice payable within thirty days of its date. Reasonable travel and out-of-pocket expenses incurred in the course of the work will be billed at cost, itemized on the relevant invoice, and are not included in the fixed fee. We will not incur any single expense above a modest threshold without your prior agreement.

## **Term and termination**

The engagement begins on the date set out above and continues until the work is complete or the parties agree in writing to end it. Either party may terminate on thirty days' written notice. If the engagement is ended early, the fixed fee will be prorated to the work performed to the date of termination, and any expenses properly incurred to that date will be payable. Work product prepared before termination remains available to you on the same terms as work delivered at completion.

## **Confidentiality**

Each party will treat as confidential the non-public information it receives from the other in the course of the engagement, will use that information only for the purposes of the work, and will not disclose it to any third party without the other's consent, except where disclosure is required by law. This obligation survives the end of the engagement. We will limit access to your information to the members of our team who need it for the work, and we will return or destroy it at your request when the engagement closes.

### **Limitation of liability**

Our advice is prepared for the use of Scott, Smith and Edwards in connection with this engagement and should not be relied upon by any other party or for any other purpose. Our aggregate liability arising out of or in connection with the engagement, whether in contract, tort, or otherwise, is limited to the fees paid to us under this letter, save in the case of our fraud or willful misconduct. We accept the engagement on the understanding that the decisions taken on the strength of our work remain yours to make.

### **Governing law**

This letter and the engagement it describes are governed by the law of the state in which our firm maintains its principal office, and any dispute arising under it will be resolved in the courts of that state. Where any provision of this letter is found unenforceable, the remainder stands.

If these terms are acceptable, please confirm by signing below and returning one copy to us. The countersigned letter will stand as our agreement, and we will make arrangements to begin on the date named above. If any provision here reads as unclear, tell us before the work starts and we will settle it. We look forward to the engagement.

Sincerely,

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**Julie Ramsey**

Managing Principal

Date: March 6, 2020

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**Melissa Johnson**

General Manager, Scott, Smith and Edwards

Date: March 6, 2020